

NCIA Standalone Purchase Order Terms and Conditions (MAY 2026)

A. Core Terms and Conditions

1. Application of Terms and Conditions

- 1.1. The Core Terms and Conditions are applicable to all Standalone Purchase Orders issued by the Purchaser.
- 1.2. In addition, if the Purchase Order provides for:
 - 1.2.1. the purchase of Equipment, the additional terms set out in [Appendix A](#) apply;
 - 1.2.2. the purchase of Services, the additional terms set out in [Appendix B](#) apply;
 - 1.2.3. the purchase of Software or Licenses and Associated Services ('Software or License'), the additional terms set out in [Appendix C](#) apply.

2. Signature

- 2.1. Unless otherwise stated, the Contractor shall return one (electronically) signed copy of the Purchase Order form to the Purchaser, confirming acceptance of the Purchase Order under the terms and conditions specified in the Purchase Order.
- 2.2. Should the Contractor follow any directions other than from the Purchaser in the performance of the Purchase Order, it will be at the risk of the Contractor.

3. Order of Precedence and Interpretation

- 3.1. The Purchase Order consists of the following documents, their annexes and the documents that are included by reference in these documents, listed hereunder in descending order of precedence:
 - 3.1.1. Purchase Order form and its annexes;
 - 3.1.2. Terms and Conditions of the Purchase Order;
 - 3.1.3. Purchaser's solicitation of offers (if any);
 - 3.1.4. Supplier's quotation, catalogue or agreement.
- 3.2. In the event of any inconsistency in language, terms or conditions of the various parts of the Purchase Order, precedence will be given to the higher listed document.
- 3.3. All other Terms and Conditions are rejected, unless expressly agreed to in writing by the Purchaser.
- 3.4. Changes in the terms and conditions of the Purchase Order may be made only by written agreement between Contractor and the Purchaser.

4. Definitions

- 4.1. 'Contractor': means the person or legal entity which has signed the Purchase Order and is a Party thereto.
- 4.2. 'Contracting Authority': means the General Manager of the NATO Communications and Information Agency (NCIA). Contracting Authority is delegated from the General Manager to the Chief of Acquisition, Deputy Chief of Acquisition for Procurement and Policy, and the contracting officers and assistants of the NCIA in accordance with applicable delegations of authority.
- 4.3. 'Day' means a calendar day, unless otherwise specified.
- 4.4. 'Deliverable' means any and all goods (including movable, immovable, tangible and intangible goods) to be delivered pursuant to the terms of the Purchase Order including, without limitation, building, raw materials, components, intermediate Assemblies, Parts, end products, equipment, documentation, data, software, infrastructure, reports, and in general the results of Services.
- 4.5. 'Equipment' means the hardware components of Supplies, possibly including limited Services and Software.
- 4.6. 'Purchase Order': means the agreement concluded between the Purchaser and the Contractor, duly signed by both contracting Parties, and any amendments thereof. The Purchase Order includes the documents referred to in Clause 3 of the Core Terms and Conditions ("Order of Precedence and Interpretation").
- 4.7. 'Purchaser': means the NCIA, as represented by the General Manager. The Purchaser is the legal entity that awards and administers the Purchase Order on behalf of NATO and stands as one of the

Contracting Parties.

4.8. 'Services' means the services (performance of tasks) to be provided to Purchaser or any Eligible Purchaser pursuant to the Purchase Order. This includes ongoing operational services as well as any work that results in a Deliverable.

4.9. 'Software' means a computer program (including, as the case may be as specified in the in the Statement of Work, source code and object code versions) comprising a series of instructions, rules, routines regardless of the media in which it is recorded, that allows or causes a computer or other Equipment to perform a specific operation or a series of operations.

5. Communication and Language

5.1. Unless otherwise agreed, all communication, documentation, services, invoices must be in English. In addition, all documentation shall be delivered in digital format.

6. Changes

6.1. Any modification, including changes, additions or deletions and instructions under the Purchase Order shall not be binding unless issued in writing by the Purchaser (Contracting Authority) and agreed to by both parties.

7. Acceptance

7.1. 'Acceptance' is the Purchaser's written confirmation that the Deliverable conforms to the requirements set out in the Purchase Order.

8. Type of Purchase Order

8.1. Unless otherwise stated in the Purchase Order, the total price of the Purchase Order is Firm Fixed Price. The price shall include all costs in respect to identification, preservation, packaging, marking, quality assurance and inspection. The Purchaser assumes no liability for costs incurred by the Contractor in excess of the stated Firm Fixed Price except as may be authorized under certain provisions of the Contract

9. Taxes and Duties

9.1. The Purchaser, by virtue of its status under the terms of Article IX and X of the Ottawa Agreement (publicly accessible on NATO's website under Home>About us>Official texts and resources>Official texts>[Agreement](#)) is exempt from all direct taxes (including VAT) and all customs duties on merchandise imported or exported.

9.2. The Contractor agrees to verify, prior to issuing of any invoice and in consultation with the Purchaser, whether in the nation where the VAT would be due, the Purchaser is exempt from VAT at source or is entitled to claim reimbursement of VAT.

9.3. Where the transaction is exempt from VAT at source, the Contractor shall exclude VAT from the invoice. The Purchaser will provide a VAT exemption certificate, as appropriate, at the point of the issuance of the Purchase Order. In addition, the Contractor shall include on the invoice the statement set out in Clause 9.3.1, together with the appropriate country reference at Clause 9.3.2:

9.3.1. *'It is certified that the Equipment, Services, Software or License listed are being purchased for official use by the North Atlantic Treaty Organization and shall be supplied free of VAT in accordance with'; and*

9.3.2. The appropriate country reference:

9.3.2.1 For Contractors from Belgium:

(In French) *"Exemption de la TVA Article 42, § 3, alinéa 1er, 4°, du Code de la TVA. Décision ministérielle ET 121.600/A12/LCZ du 02 décembre 2021."*

(In Dutch) *"Vrijstelling van BTW. Artikel 42, § 3, eerste lid, 4°, van Btw-Wetboek. Ministeriële beslissing ET 121.600/A 12/LCZ van 02 december 2021."*

9.3.2.2 For Contractors from other European Union (EU) countries: *'Article 151 from the EU Council Directive 2006/112/EC and Article 13 from the EU Council Directive 2008/118/EC';*

9.3.2.3 For Contractors from non-EU countries: *'Article IX and X of the Ottawa Agreement, dated 20 September 1951'.*

9.3.2.4 For Contractors from the United Kingdom:

9.3.2.4.1. The Purchase Order must also include the following statement according to which entity the purchase is for:

9.3.2.4.1.1. *'I hereby certify that the goods and services listed are being purchased for official use by the North Atlantic Treaty Organization and should be supplied free of VAT in accordance with the agreement with HMRC (reference PRIV 59/16).'*

9.3.2.4.1.2. *'I hereby certify that the goods and services listed are being purchased on behalf of the HQ Allied Maritime Command for official use by the North Atlantic Treaty Organization and should be supplied free of VAT in accordance with the agreement with HMRC (reference PRIV 59/16).'*

9.4. Outside of Clause 9.3 above, the Contractor will cooperate with the Purchaser to provide all necessary documentation to ensure Purchaser obtains the VAT exemption.

10. Invoice and Payment

10.1. Following Acceptance, all invoices shall be submitted electronically through the NCIA's eProcurement's platform. Invoices from vendors not registered on the NCIA's eProcurement's platform can be submitted to: accountspayable@ncia.nato.int

10.2. A proper invoice shall include:

- 10.2.1.** Name and address of the Contractor;
- 10.2.2.** Invoice date and invoice number (the invoice date should be as close as possible to the date of submission);
- 10.2.3.** The Purchase Order number;
- 10.2.4.** Currency of the Purchase Order;
- 10.2.5.** Description, quantity, unit of measure, unit price, and extended price of supplies delivered or services performed;
- 10.2.6.** The unit, extended, and total prices;
- 10.2.7.** Contractor's bank name, address, and account number;
- 10.2.8.** Name (where practicable), title, phone number, and mailing address of person to notify in the event of a defective invoice;
- 10.2.9.** VAT identification number;
- 10.2.10.** The appropriate VAT information as required by Clause 9 ("Taxes and Duties");
- 10.2.11.** The following statement: *"This invoice is certified as true and correct, and the delivery of the above described items has been duly carried out and the payment therefore has not been received";* and
- 10.2.12.** Any other information or documentation required by the Purchase Order (e.g., evidence of shipment or of work confirmation, written Purchaser Acceptance).
- 10.2.13.** The Purchaser's address: NCIA Headquarters, Boulevard Leopold III, Brussels, Belgium

10.3. Payment Terms: Except as otherwise stated by the Purchaser, the payment terms will be NET30 following receipt and acceptance by the Purchaser of a proper invoice. Payment shall be made electronically. A proper invoice is in accordance with Clause 10.2.

10.4. If the Purchaser fails to pay any amount when due, interest will accrue on such unpaid amount on a daily basis as from the due date, at a rate equal to the one (1) year EURIBOR interest rate during the month of December of the previous year, rounded up to the higher quarter percent; the interest rate thus obtained is increased by four (4) percent.

10.5. Any fees charged by a bank in the receiving of an international payment for the Contractor, shall be borne solely by the Contractor and shall not be reflected on invoices nor charged to the Purchaser.

10.6. The Purchaser shall be entitled to delay or withhold payment of any invoice or part of it where the Purchaser disputes or withholds such invoice or part of it provided that such dispute is bona fide. The withheld amount shall be limited to that which is in dispute. The disputed or withheld amount shall be settled in accordance with the Dispute procedure as set out in Clause 21 of the Core Terms and Conditions ("Dispute and Arbitration"). Any exercise of this right shall not entitle the Contractor to delay or withhold provision of the Supplies, Services or Deliverables or any other obligation.

10.7. The Purchaser reserves the right to set-off any invoiced amount with claims and unpaid sums it may have against the Contractor.

10.8. The Contractor shall be solely responsible for making payment to its subcontractors.

10.9. Conditional Hold of Invoice

- 10.9.1.** If the Purchaser receives an invoice that lacks a required element (e.g., evidence of work confirmation or written Purchaser Acceptance) as referenced in Clause 10.2, the invoice shall be deemed improper, and the Contractor shall be notified accordingly. The invoice will be placed on hold for a period of seven (7) Days to allow the Contractor to provide the missing element(s).
- 10.9.2.** During the hold period referenced in Clause 10.9.1, the NET30 payment timeline (Clause 10.3) shall be paused as of the date the hold is initiated. No interest penalties under Clause 10.4 shall accrue during the hold period.
- 10.9.3.** If the Contractor resolves the deficiency within the hold period, the invoice shall be removed from hold status, and the NET30 timeline shall restart from the date the missing element(s) was received and accepted.
- 10.9.4.** If the missing element(s) is not provided within fourteen (14) Days of the initial receipt of the improper invoice, the invoice will continue to remain on hold by the Purchaser until the Contractor has resolved the deficiency. In this period, Clauses 10.9.2 and 10.9.3 apply.

10.10. Final Invoice

- 10.10.1.** The Contractor shall submit a final invoice upon completion of all deliverables, services, or obligations under the Purchase. The final invoice must include all amounts due under the Purchase Order and clearly state "*Final Invoice*" in bold letters at the top of the invoice.
- 10.10.2.** The submission of a final invoice constitutes the Contractor's acknowledgment that:
 - 10.10.2.1** All work under the Purchase Order has been completed.
 - 10.10.2.2** There are no outstanding deliverables, obligations, or unresolved matters under the Purchase Order.
 - 10.10.2.3** This invoice represents the final payment request under the Purchase Order.
- 10.10.3.** Failure to properly label the final invoice may result in payment delays. The Purchaser reserves the right to reject improperly labeled invoices and to request a corrected submission.

11. General Representations and Warranties - Conformance to National Laws and Regulations

- 11.1.** The Contractor warrants that it is duly organized and validly existing under the laws of its jurisdiction of incorporation, and that it has full power and authority to execute and perform its obligations under the Purchase Order. The Purchase Order constitutes a legal, valid and binding obligation, enforceable against the Contractor. The execution and performance of the Purchase Order shall not conflict with any terms of its articles of association or any applicable laws or any contract or arrangement to which it is a party or by which it is bound or affected.
- 11.2.** The information furnished by the Contractor on or before the date of the Purchase Order is to the best of its knowledge true, accurate and complete in all material respects.
- 11.3.** The Contractor warrants that it and its subcontractors are duly authorized to operate and do business in the country or countries in which the Purchase Order is to be performed and that it and its subcontractors have obtained or will obtain all necessary licenses and permits required in connection with the Purchase Order (including work permits for its personnel if required). No claim for additional monies with respect to any costs or delay to obtain the authorizations to perform shall be made by the Contractor.
- 11.4.** The Contractor acknowledges that it and its subcontractors are responsible during the performance of the Purchase Order for ascertaining and complying with all applicable laws, regulations and binding standards, including without limitation: immigration, tax, social security and labor legislation, regulations regarding the security of information and communication technology, regulations regarding personal data protection, regulations regarding Environmental, Social and Governance (ESG), environmental laws, health and safety regulations and export control laws and regulations in effect at the time of Purchase Order signature or scheduled to go into effect during Purchase Order performance. Failure to fully ascertain and comply with such laws, regulations or standards shall not be the basis for claims for Change to the specifications, terms, conditions or monetary value of the Purchase Order.
- 11.5.** The Contractor will take a proactive attitude, such as without additional charge, (a) proactively requesting from the Purchaser all information needed to perform and comply with its tasks and obligations under the Purchase Order, and (b) proactively monitoring the timely and proper

performance and the financials of the Purchase Order. The Contractor will proactively advise the Purchaser about the most optimal use of the Supplies, Services and Deliverables, possible alternatives and optimizations regarding costs and technical and operational aspects.

- 11.6.** Unless explicitly otherwise stated in the Purchase Order, the Purchaser does not enter into an exclusive commitment towards the Contractor.

12. NCIA Supplier Code of Business Ethics and Conduct

- 12.1.** The NCIA Supplier Code of Business Ethics and Conduct, publicly accessible on NCIA's website under NCIA's website under Business>Procurement>Documents and Resources>[Terms and Conditions](#), forms an integral part of the Contract. The NCIA Supplier Code of Business Ethics and Conduct sets standards and practices for suppliers and their subcontractors to adhere to when doing business with the NCIA.

- 12.2.** In the event of any inconsistency in language, terms or conditions between the NCIA Supplier Code of Business Ethics and Conduct and the Contract General Terms and Conditions, the latter takes precedence.

- 12.3.** Failure to comply with a provision of the NCIA Supplier Code of Business Ethics and Conduct may constitute grounds for termination under the Contract.

13. Export Control Compliance

- 13.1.** The Contractor shall comply with, and process authorizations or licenses pursuant to, all applicable laws and regulations governing export control.

- 13.2.** The Contractor acknowledges that it has indicated in the Purchase Order or its offer, the deliverable that is subject to export control regulations.

- 13.3.** The Contractor shall inform the Purchaser of any item delivered that is subject to export control and provide, as applicable, the following information: the supplier part number, the manufacturer part number, the customs tariff number (Harmonized System (HS) code), the country of origin, the classification code (e.g., Export Control Classification Number (ECCN)/United States Munitions List (USML)), a copy of the export control license, the list of countries covered by the export license.

14. Health, Safety and Accident Prevention

- 14.1.** If the Purchaser notifies the Contractor in writing of any non-compliance in the performance of the Purchase Order with health and safety rules and requirements prescribed on the date of the Purchase Order by applicable national or local laws, ordinances and codes, and the Contractor fails to take immediate corrective action, the Purchaser may order the Contractor to stop all or part of the work until satisfactory corrective action has been taken. Such an order shall not entitle the Contractor to an adjustment of the Purchase Order price or other reimbursement for resulting increased costs, or to an adjustment of the delivery or performance schedule.

15. Protection of Purchaser Property

- 15.1.** The Contractor shall use reasonable care to avoid damaging any Purchaser property. If the Contractor's failure to use reasonable care causes damage to any of this property, the Contractor shall replace or repair the damage at no expense to the Purchaser, as the discretion of the Purchaser. If the Contractor is unwilling or unable to make such repair or replacement, the Contractor shall be liable for the cost, which may be deducted from the Purchase Order price.

16. Indemnity

- 16.1.** The Contractor will indemnify and hold harmless the Purchaser, its servants or agents, against any liability, loss or damage arising out of, or in connection with the Deliverables under the Purchase Order.

- 16.2.** The Contractor will indemnify the Purchaser, its servants or agents, against claims made against the Purchaser and its servants or agents, by their personnel, and their sub-contractors (including their personal representatives) in respect of personal injury or death of such personnel or loss of, destruction, or damage to the property of such personnel.

- 16.3.** The Contractor will consult with the Purchaser regarding the handling of any claim or action to which the provisions of this Clause 16 may be relevant, and will consult with the Purchaser over the handling of any such claim and conduct of any such action. The Contractor will not settle or compromise any such claim or action without prior consultation and without the concurrence of the Purchaser.

- 16.4.** In the event of an accident resulting in loss, damage, injury or death arising from negligence or wilful

intent of an agent, officer or employee of the Purchaser for which the risk has been assumed by the Contractor, the Contractor shall involve the Purchaser in any investigation into the cause of the accident.

17. Delivery Date and Period of Performance

17.1. The delivery dates or period of performance are as specified in the Purchase Order and are fixed target dates unless otherwise specified by the Purchaser in the Purchase Order.

18. Delay and Liquidated Damages

18.1. If the Contractor fails to successfully achieve a binding Delivery Date or Milestone Date specified in the Purchase Order, and the delay is not excusable under Clause 19 of the Core Terms and Conditions ("Force Majeure"), the Purchaser reserves the right to consider it a default. However, if the delay does not have a material negative impact on the activities of the Purchaser or a third party that is considered a beneficiary under the Purchase Order and does not cause a financial loss to the Purchaser or a third party beneficiary, the Purchaser, acting in good faith, will provide an extension of the Delivery Date or Milestone Date that will be reasonable, taking into consideration the importance of the relevant Supplies, the Services or the Deliverable and taking into consideration the impact of the delay on the activities or any expected benefits of the Purchaser or any third party.

18.2. If the Contractor fails to successfully achieve a Key Delivery or Key Milestone Date specified in the Purchase Order, or a repeatedly extended Delivery or Milestone Date that will be considered a Key Delivery or Key Milestone Date as stated above, it is assumed that the delay causes harm to the Purchaser or any third-party beneficiary under the Purchase Order.

18.3. In lieu of actual damages, the Contractor shall pay to the Purchaser, for each Day of delinquency in achieving the specific delayed deadline or milestone, fixed and agreed liquidated damages of one tenth of one percent (0.1%) per Day of the associated payment of the delayed milestone. The total damages shall not exceed 10% of the total value of the Purchase Order.

19. Force Majeure

19.1. Neither Party shall be liable for any default or delay in the performance of its obligations under the Purchase Order including any performance of, receipt of, or payment for, the Supplies or Services:

19.1.1. if and to the extent that the Party demonstrates that performance in accordance with the specifications of the Purchase Order is impossible and such default or delay is caused by an unforeseeable event, such as fire, flood, earthquake, natural disaster, war, boycott, embargo, riots, civil disorders, terrorism, general labor actions (other than solely by employees of the Contractor or a Subcontractor), acts of public authorities which the Contractor could not reasonably have anticipated, epidemic disease, failure of telecommunications or utilities infrastructure which is not under control of the Contractor or its subcontractor, or any other unforeseeable cause beyond the reasonable control of such Party (each such event a "Force Majeure Event"); and

19.1.2. provided the non-performing Party is without fault in causing such default or delay, and such default or delay could not have been prevented by reasonable precautions and could not reasonably be circumvented by the non-performing Party through the use of alternate sources, workaround plans or other means (including by the Contractor meeting its obligations for performing disaster recovery or business continuity services as provided in the Purchase Order); and

19.1.3. taking into consideration the nature and purpose of the Purchase Order, in particular in the event of war, armed conflict, boycott, embargo and similar circumstances, which may imply that in principle, such circumstances should not be deemed unforeseeable, and that the Contractor is obliged to make the necessary arrangements to avoid default or delay caused by such circumstances.

19.2. In case of a Force Majeure Event, the non-performing Party shall be excused from further performance of the affected obligations for as long as such circumstances prevail and such Party continues to use reasonable efforts to recommence performance without delay (whereby the Parties will adjust the delivery schedule as a Purchase Order amendment), provided that a Force Majeure Event will not relieve the Contractor of its obligations to implement successfully all of the Services relating to disaster recovery and business continuity that are included in the Purchase Order. Any Party so delayed in its performance shall (a) immediately notify the other Party and describe at a reasonable level of detail the circumstances causing such delay and the impact thereof, (b) keep the other Party permanently informed on further developments and (c) undertake its best efforts to eliminate and at least minimize the effects of a Force Majeure Event as soon as possible.

- 19.3. The Purchaser will be entitled to withhold payment of any Price related to (parts of) Supplies, Services or Deliverables that have not (yet) been supplied due to a Force Majeure Event.
- 19.4. If a Force Majeure Event continues to hinder or prevent a Party from properly or timely performing its obligations under the Purchase Order for a period of sixty (60) Days, the other Party may immediately terminate the Purchase Order entirely or partially by registered letter without recourse to legal proceedings. In case of such termination, the Contractor will refund any amounts prepaid by the Purchaser related to (parts of) Deliverables and Services that have not been supplied.
- 19.5. If the Contractor claims that a failure to comply with a Service Level or other obligation is caused by a third party or a Force Majeure Event, it will have to submit a Root Cause Analysis (RCA) as evidence. Circumstances that have an impact on the performance of a subcontractor shall only be considered as Force Majeure Events for the Contractor if such circumstances constitute Force Majeure Event(s) for such Subcontractor.
- 19.6. The Contractor is not allowed to request any price revision based on changed circumstances (hardship) that are not considered circumstances of Force Majeure.

20. Termination

20.1. Termination for the Purchaser's Convenience

- 20.1.1. In the event the Purchaser determines that the requirements of the Purchase Order are no longer required, the Contractor shall immediately stop all work and immediately cause any and all of its suppliers and subcontractors to cease work. Subject to the terms of the Purchase Order, the Contractor shall be paid a percentage of the Purchase Order price reflecting the portion of the Purchase Order already delivered and accepted by the Purchaser prior to the notice of termination, and for any work performed or costs incurred which could not have been reasonably avoided.

20.2. Termination for Default

- 20.2.1. The Purchaser may terminate the Purchase Order, or any part thereof, for cause, in the event that the Contractor is in material breach of its obligations under the Purchase Order (except in the case of failure to comply being cause by an occurrence of Force Majeure in accordance with Clause 19 of the Core Terms and Conditions ("Force Majeure")), or fails to provide the Purchaser, upon request, with adequate assurances of future performance. In the event of termination for default, the Purchaser shall not be liable to the Contractor for any amount for supplies or services not accepted, and the Contractor shall be liable to the Purchaser for any and all rights and remedies provided by law.

20.3. Termination by Mutual Agreement or Consent

- 20.3.1. The Purchaser and the Contractor may mutually agree to terminate the Contract, in whole or in part, at any time before the completion of the Contract's performance. Such termination shall be effective upon the execution of a written termination agreement, signed by both Parties, specifying the terms, conditions, and effective date of the termination.
- 20.3.2. Termination by mutual agreement or consent shall not be construed as a Termination for Default and Termination for Convenience, and shall not entitle either Party to any claim or cause of action arising from the termination, except as explicitly provided in the termination agreement.

21. Disputes and Arbitration

- 21.1. All disputes arising under, or which are related to the Purchase Order or with respect to its effectiveness, shall be resolved by consultation between the Parties. If no agreement can be found, either party may open arbitration proceedings in accordance with the following arbitration provisions.
- 21.2. Any dispute, controversy or claim arising out of or relating to this contract, or the validity, interpretation, breach, termination thereof, which are not settled amicably shall be settled by arbitration in accordance with the *Permanent Court of Arbitration* (PCA) Arbitration Rules 2012, subject to the following paragraphs.
- 21.3. The number of arbitrators shall be three. Each arbitrator shall be of the nationality of a NATO Member State. The third arbitrator will be of a nationality different from the nationality of the other two arbitrators.
- 21.4. Conduct of the arbitral proceedings and the provision of evidence is subject to the rules of security

in force within NATO, where applicable. Although each Party has the liberty of choosing their legal representatives and expert witnesses, the Parties acknowledge that the rules of security within NATO may prohibit the communication of NATO information, including classified information, in particular to individuals who do not hold the nationality of a NATO Member State.

- 21.5. The arbitration proceedings shall be conducted in English. Any document submitted by the Parties in a language other than the language of the arbitration proceedings shall be accompanied by a translation into the language of the arbitration proceedings.
- 21.6. The arbitration proceedings and award, but not the existence of the arbitration, shall be private and confidential, except with the consent of all parties, or to the extent that disclosure is required of a Party: by legal duty (including where that duty arises from NATO's internal legal order); to protect or pursue a legal right; or in relation to legal proceedings before a court or other competent authority.
- 21.7. The place of arbitration (seat) shall be Brussels, Belgium. For deliberations, the arbitrators may meet at any place of their choice, provided that it is within the territory of a NATO Member State. The hearings shall take place at Brussels, Belgium.
- 21.8. Nothing in this provision, or in any contract of which it forms a part, shall be interpreted as a waiver of any privileges or immunities accorded to any Party hereto with respect to any procedure before the court or tribunal of any State, including any court or tribunal of the place of arbitration, including but not limited to any procedure that relates to the validity, interpretation or application of the arbitration agreement, requests for interim relief, requests of measures concerning the arbitration procedure, or applications for the recognition or the enforcement of an award or to any measure of execution or detention of property.

22. Governing Law

- 22.1. Except as otherwise stated in writing by the Purchaser (Contracting Authority), the Purchase Order shall be governed, interpreted and construed in accordance with the laws of the Kingdom of Belgium, with the exclusion of its conflict of law rules and with the exclusion of the United Nations Convention on Contracts for the International Sale of Goods ("Vienna Convention").

23. Participating Nation

- 23.1. Unless prior written authorization of the Purchaser has been obtained, all goods, works, and services shall be procured from vendors from Participating Nation(s), and vendors from non-Participating Nation(s) shall be excluded from serving as a Contractor or Subcontractor.
- 23.2. The Contractor requires the prior written authorization of the Purchaser prior to providing access to any information related to the Purchase Order, and its execution (including all Deliverables, Equipment, Services, Software) to personnel, at any tier, holding a nationality of a non-NATO Member nation. This requirement applies irrespective of the other nationalities held by the individual in question.
- 23.3. The Contractor shall not place any subcontract outside Participating Nations without the prior written authorization of the Purchaser.
- 23.4. Where any Software, Goods or Documentation to be incorporated into the Purchase Order originates from suppliers established outside the Participating Nations, and such origin is subject to any known or reasonably foreseeable restrictions, export controls, supply chain security or other security considerations, the Contractor shall promptly notify the Purchaser in writing. The notification shall identify the Deliverables or components concerned, the country of origin and the identity of the supplier, and shall describe the applicable restrictions, export controls, supply chain security or security considerations, together with their anticipated impact on the Contractor's ability to perform the Purchase Order. The Contractor shall, at its own cost, take all reasonable measures to mitigate the impact of any such restrictions, export controls, supply chain security or security considerations on the performance of the Purchase Order, including by proposing alternative sources of supply, securing any necessary licences or authorisations, or implementing appropriate security or supply chain assurance measures, and shall keep the Purchaser informed of the progress and outcome of those measures. Failure to provide such notification in a timely manner, or to take the required mitigation measures, shall constitute a material breach of the Purchase Order.
- 23.5. Any modification in the nationality or change of control of the Contractor or its subcontractor(s) shall be immediately notified in writing to the Purchaser with all necessary details to allow the Purchaser to determine whether or not the Contractor or its subcontractors continue to comply with this Clause 23. Non-compliance with this Clause 23, by the Contractor or its subcontractor, may constitute ground for termination of the Purchase Order under Clause 20.2 of the Core Terms and Conditions ("Termination for Default").

24. Confidentiality and Non-Disclosure

- 24.1.** The Contractor shall not, without prior authorization from the Purchaser, release to third parties any information pertaining to the Purchase Order, its subject matter, performance or any other aspect.
- 24.2.** The Contractor shall seek the prior written approval of the Purchaser before publishing any press release or disclosing any information, orally or in writing, in relation to the Purchase Order. The approval of the Purchaser shall be required for both the opportunity and the content of the information.

25. Post-Contractual Obligations

- 25.1.** At the end of the Purchase Order, the Contractor must immediately and without any additional request return all documents, aids, materials or objects received from the Purchaser for the purpose of Purchase Order execution. This also applies for any copies. Furthermore, all work products and results of any kind must be handed over to the Purchaser. Insofar as the Purchaser was granted the exclusive right to use, this applies to all copies created by the Contractor.
- 25.2.** The Purchaser can demand the secure entire or partial deletion or destruction of said materials instead of the return of such. The Contractor has to certify its compliant conduct by corresponding declaration or any other reasonable manner.

26. Security of Unclassified and NATO Unclassified Materials and Information

- 26.1.** The Contractor shall comply with the security measures prescribed in NATO Security Policy, by the Purchaser and as applicable, by the National Security Authority (NSA) or Designated Security Authority or Agency (DSA), of each of the NATO Member nations, in which the Purchase Order is being performed or in which the Company is based. The Contractor shall be responsible for the safeguarding of information that is indicated as "NATO classified" ("NATO classified information") such as NATO Unclassified (NU), NATO Restricted (NR), NATO Confidential (NC), NATO Secret (NS) and NATO Cosmic Top Secret (CTS), under the "need-to-know" principle, as well as NATO classified and "In Confidence" documentation, material and equipment entrusted to them or generated by them in connection with the performance of the Purchase Order. Further Information can be provided, in more details within the Statement of Work, Security Clause, Security Aspect Letter (SAL), Project Security Instructions (PSI), as applicable within the Purchase Order and according to the Purchase Order or project classification given.
- 26.2.** Where necessary the Contractor shall apply relevant classification requirements as designated in Clause 26.1, in the Statement of Work pertaining to NATO Unclassified with exceptions, NATO Restricted and above security requirements.
- 26.3.** The Contractor shall ensure that the substance of this Clause 26 is incorporated into all subcontracts arising under this contract, and shall ensure compliance by its subcontractors.

27. Personal Data Protection

- 27.1.** Although NATO, as an international organization, is not subject to European Regulation 2016/679 (GDPR) and national data protection law, it is committed to protecting the personal data that it processes. All processing of Personal Data that is considered Purchaser Data will be done in accordance with the [NATO Personal Data Protection Policy](#) all applicable laws, regulations standards and certifications that are considered Good Industry Practice.
- 27.2.** Where the provision of the Purchase Order involves the processing of Personal Data by the Contractor on behalf of the Purchaser (beyond ordinary contact details for the purpose of administering the Purchase Order), the Purchase Order shall refer to a Data Processing and Transfer Agreement. In all other cases, the Data Processing and Transfer Agreement shall not apply. The Purchaser has the right to verify compliance with this Clause 27.

28. Cyber Incident Reporting

- 28.1.** The Contractor shall report to Purchaser without delay and take remedial action upon discovery or awareness of cyber incidents.
- 28.2.** Cyber incident means actions taken directly or indirectly through the use of computer networks that result in a compromise or a potential compromise, or an actual or potentially adverse effect, on an information system or the information residing therein.
- 28.3.** Compromise means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media or external networks may have occurred.

28.4. Cyber incidents are considered cybersecurity issues. The Contractor shall establish and maintain a process for identifying, tracking, reviewing, reporting, and resolving cybersecurity issues. The Contractor shall provide all relevant information on cybersecurity issues from this process to Purchaser without delay. Without delay for the purposes of this Clause 28 means one Day or as soon as possible under the circumstances.

28.5. This Clause 28 is in addition to any other requirements placed upon the Contractor, and does not replace or modify any other requirement.

29. Privileges And Immunities

29.1. Nothing contained in or relating to the Purchase Order shall be deemed to constitute a waiver of any of the privileges and immunities enjoyed by the Purchaser or as submitting the Purchaser to any national court jurisdiction.

B. Appendix A – Equipment

The following Terms and Conditions apply for the purchase of Equipment and the delivery thereof.

1. General Terms

1.1. The Contractor shall deliver the purchased Equipment in conformity with the specifications set forth in the Purchase Order, including without limitation all agreed-upon features, quantities, performance and interoperability requirements, and the agreed additional accessories and Services, such as installation, and preventive, evolutive and corrective maintenance.

1.2. The Equipment shall comply with all applicable legal and regulatory product requirements, standards, and markings.

1.3. The installation and set-up of the purchased Equipment is the responsibility of the Purchaser unless otherwise agreed upon.

1.4. The Contractor sells and provides ownership of the Equipment to the Purchaser on the terms contained in the Purchase Order: the Core Terms and Conditions and Appendix A.

1.5. The documentation of the Equipment must be understandable, drafted in English and delivered in digital format, unless otherwise agreed.

2. Delivery and Transfer of Risk

2.1. All deliveries must be accompanied by the full and complete inventory within the Material Data Sheet (MDS) of all items and packing list to be delivered in electronic format at least 10 (ten) Days before the shipment. The MDS based on the data fields listed in Annex A

2.2. Deliveries shall be made DDP to destination.

2.3. Unless otherwise agreed, the place of performance is the place of the Purchaser's place of shipment indicated in the Purchase Order. It shall be noted, however, that the Purchaser is exempt from direct taxes and duties as set forth in Clause 9 ("Taxes and Duties") of the Core Terms and Conditions and therefore there is no duty to be paid by the Contractor.

2.4. The risk of accidental loss or accidental damage of Equipment lies with the Contractor. The risk transfers to the Purchaser only at the point when the Purchaser signs a delivery notice upon receipt of the Equipment at the place of performance.

3. Inspection and Acceptance

3.1. The Purchaser reserves the right to inspect or test any Equipment that has been tendered for Acceptance, at no cost to the Purchaser. For this, the Contractor shall ensure that:

3.1.1. All items requested have been accounted for;

3.1.2. All packages and pallets specified in the packing lists have been accounted for;

3.1.3. MDS information is correct and complete as per the requirements of the Purchase Order;

3.1.4. No damage has occurred to the Equipment during transport;

3.1.5. There are no dead on arrivals (DOAs).

3.2. The Contractor shall only tender for Acceptance those items that conform to the requirements of the Purchase Order. The Purchaser is not obliged to accept or reject the entire delivery of Equipment. Each item must as such conform to the specifications. The Purchaser may, at its sole discretion, accept a delivery in part without prejudice to any of its rights under the Purchase Order.

- 3.3. The Purchaser will notify the Contractor within fifteen (15) Days upon receipt on site regarding any discrepancies or rejection if the delivered Equipment is not in conformity with the specifications of the Purchase Order.
- 3.4. The Purchaser may require repair or replacement of non-conforming Equipment at no increase in the Purchase Order price. If repair or replacement will not correct the defects or is not possible, the Purchaser may seek an equitable price reduction, or reject the Equipment and terminate the Purchase Order for Default, at no cost to the Purchaser.
- 3.5. In such case as the Equipment has been delivered by the Contractor and offered for inspection and the Purchaser has either not made inspection or failed to provide written Acceptance or rejection of the Equipment within thirty (30) Days of delivery, the Equipment will be determined to have been accepted by the Purchaser.
4. **Ownership and Title**
 - 4.1. Ownership and title to all Equipment delivered under the Purchase Order will pass to the Purchaser upon Acceptance by the Purchaser.
5. **Notice of Shipment and Customs Documentation**
 - 5.1. The Contractor shall be responsible for customs clearance of all shipments into the destination countries. It is the Contractor's responsibility to take into account delays at customs.
 - 5.2. Thirty (30) Days, or such other period as specified in the Purchase Order, prior to the delivery of any shipment of Equipment, the Contractor shall give prepaid notice of shipment to the Purchaser. The Notice of Shipment shall contain, as appropriate, the request for Customs Form 302, or equivalent document, which shall enable any carrier to conduct duty free import or export clearance through customs for the Purchaser on behalf of NATO. The Customs Form 302 is an official customs clearance declaration issued in advance of shipment by the Purchaser to provide certified information as to the duty free import, export, or transit of NATO consignments between NATO Member Nations.
 - 5.3. The Contractor shall be responsible for the timely request of Customs Form 302, required for duty free import or export of NATO Supplies. However, this duty free status does not include any administrative charges that may incur during the customs clearance depending on the Host Nation regulations. Therefore, the Contractor shall be fully responsible for handling such administrative charges without any additional cost to the Purchaser.
 - 5.4. The Notice of Shipment and the written request for a Customs Form 302 shall be sent to the Purchaser Point of Contact (PoC) and shall contain the following information:
 - 5.4.1. Purchaser's Purchase Order number;
 - 5.4.2. Purchase Order item number, designation and quantities;
 - 5.4.3. Destination;
 - 5.4.4. Number and description of the packages (gross and net weight);
 - 5.4.5. Description of the goods and their value (for custom purpose only, not commercial value);
 - 5.4.6. Consignor's name and address;
 - 5.4.7. Consignee's name and address;
 - 5.4.8. Method of shipment (i.e. road, rail, sea, air, etc.);
 - 5.4.9. Name and address of freight forwarder.
 - 5.5. The Contractor shall ensure that forwarding agents are informed of the availability of Customs Form 302 and how this form is utilized to avoid the payment of Customs Duties. Form 302 shall be added to the shipment documents to be provided to the carrier.
 - 5.6. Following receipt of the request by the Purchaser, normally ten (10) Days are required for the issue of the Customs Form.
 - 5.7. These Forms shall be originals and must be mailed or delivered by mail or express courier to the Contractor. If an express courier has to be used by the Purchaser to ensure that the Form is available on time before shipment, all associated costs shall be reimbursed by the Contractor.
 - 5.8. If a country refuses to accept the Customs Form 302 and requires the payment of custom duties, the Contractor shall immediately inform the Purchaser by the fastest means available and obtain from the Customs Officer a written statement establishing that its country refuses to accept the Customs Form 302. Only after having received Purchaser's approval, shall the Contractor pay these customs duties.
 - 5.9. The Contractor shall add the Customs Form 302 to the shipping documentation. It shall be noted that

these documents have to be originals which need to be available for the goods to be cleared from Customs. Any unused Form 302 shall be returned to the Purchaser.

- 5.10.** Upon receipt of the Notice of Shipment from the Contractor, the Purchaser may require the Contractor to send copies of the Notice of Shipment to the receiving parties and the Contractor shall comply with this requirement.

6. Packaging

- 6.1.** Packaging shall be adequate to protect the Equipment or supplies from any damage during transport fulfilling as a minimum the requirements of STANAG 4280 "NATO Levels of Packaging", NATO packaging level 4 (ref. Annex B), giving due consideration to shipping and other hazards associated with the transportation of consignments overseas even in case of:

- 6.1.1.** OEMs use of commercial packaging;
- 6.1.2.** Electrostatic Discharge (ESD) sensitive devices;
- 6.1.3.** Hazardous or dangerous goods and goods requiring safety test reports and certificates or export licenses.

- 6.2.** Packaging and any standard or special packaging materials and containers (boxes, pallets, shipping containers) required for the shipment of items shall be the responsibility of the Contractor at no extra cost to the Purchaser.

- 6.3.** The packing list shall include the following information as a minimum:

- 6.3.1.** The Shipping Address;
- 6.3.2.** Package Number;
- 6.3.3.** Purchase Order Number and CLIN;
- 6.3.4.** Item Description;
- 6.3.5.** Part Number and Serial Number;
- 6.3.6.** Quantity;
- 6.3.7.** Method of shipment and destination;
- 6.3.8.** Weight and Volume details;
- 6.3.9.** Number of pallets or boxes;
- 6.3.10.** Name and address of the Contractor, Purchaser and Consignor;
- 6.3.11.** Name and address of the freight forwarder.

7. Support and Warranty

- 7.1.** The Contractor warrants that all Equipment delivered under the Purchase Order will, from the date of either shipment by the Contractor or installation, be free from Defects and damage and will conform to the specifications of the Purchase Order under normal use or any specific use as indicated to the Contractor. The support shall continue for a minimum period of twelve (12) months from the date of shipment or installation (Support Period). The Support Period shall restart for any replaced or repaired components.
- 7.2.** The Purchaser will report any occurring Defects and Damage to the Contractor without delay. The Contractor will inspect Defects reported to it immediately, at the latest within ten (10) Days.
- 7.3.** Unless otherwise agreed, the Purchaser has the right of choice how to remedy a Defect. The Purchaser shall choose between correction of the Defect by repair or replacement, without prejudice to its right to claim compensation for any Damage caused by Defective Equipment.
- 7.4.** If the original part is no longer available for repairs or replacements during the Support period, the Contractor shall provide the alternatives or superseding items, ensuring quality and form, fit and functional requirements. The Contractor shall propose the alternative part with the related part information (Part Number (P/N), Original Equipment Manufacturer (OEM)) for Purchaser approval.
- 7.5.** If the Contractor fails to correct the Defect within a reasonable period set forth by the Purchaser or if repair or replacement is not possible, the Purchaser may seek an equitable price reduction or terminate the Purchase Order partially or entirely under Clause 20.2 of the Core Terms and Conditions ("Termination for Default"), and the Contractor shall reimburse any amounts paid by the Purchaser.
- 7.6.** All costs in connection with the removal and shipment of Defective goods, parts (including Failed Components) or accessories and the shipment and installation of repaired or replacing goods, parts or accessories shall be borne by the Contractor. Any shipment done by the Contractor shall be done Delivery Duty Paid (DDP).

- 7.7. In such rare cases where a Failed Component is either too large to be easily transported or the Failed Component cannot be readily identified and isolated within a larger entity, the Contractor shall be notified immediately by the Purchaser of the failure by telephone or e-mail. The Contractor shall provide technical support to the Purchaser personnel in identifying the Failed Component so as to afford the Purchaser the opportunity to return the Failed Component. In such a case where the Failed Component cannot be identified or is not cost effective or practical to ship to the Contractor's facility, the Contractor may elect to send field service personnel to the site of the failure and repair such Equipment on location. In this event, such field service personnel shall be dispatched to the site of the failure within forty-eight (48) hours of initial notification. The expense of the technical support and field service shall be borne by the Contractor.
- 7.8. The Contractor shall conduct analysis of all defective Equipment and Failed Components which are returned to him by the Purchaser or repaired in the field by Contractor field service personnel to determine the root cause of the failure. The Contractor shall issue a report to the Purchaser within thirty (30) Days of receipt of a returned item or field repair which contains the results of the analysis. The report shall contain the conclusion of the Contractor as to whether the cause of the failure was due to a Manufacturing Defect or a Design Defect and declare what course of remedial action the Contractor shall implement to prevent further failures of a similar nature. Repetitive failures of the same component may be grounds for a de facto determination by the Purchaser that a Design Defect exists.
- 7.9. If the Purchaser determines that a Design Defect exists in any of the Equipment received by the Purchaser under the Purchase Order, the Purchaser shall promptly notify the Contractor of the Defect, after discovery of the Defect. Upon timely notification of the existence of a Defect, or if the Contractor independently discovers a Design Defect or Manufacturing Defect in delivered Equipment, the Contractor shall submit to the Purchaser, in writing, a recommendation for corrective actions, together with supporting information in sufficient detail for the Purchaser to determine what corrective action, if any, shall be undertaken.
- 7.10. The Contractor shall also prepare and furnish to the Purchaser data and reports applicable to any Correction required under this Clause 7 (including revision and updating of all other affected data and already accepted Documentation called for under the Purchase Order) at no increase in the Purchase Order price.
- 7.11. In the event of timely notice of a decision not to correct or only to partially correct, which is approved by the Purchaser, the Contractor shall submit a technical and cost proposal to amend the Purchase Order to permit Acceptance of the affected Supplies or Services in accordance with the revised requirement, and an equitable reduction in the Purchase Order price shall promptly be negotiated by the Parties and be reflected in a supplemental amendment agreement to the Purchase Order.
- 7.12. After receipt of the Contractor's recommendations for corrective action and adequate supporting information in accordance with Clause 7.8, the Purchaser in its sole discretion, shall give the Contractor written notice not to correct any Defect, or to correct or partially correct any Defect within a reasonable time.
- 7.13. The Contractor shall promptly comply with any timely written direction from the Purchaser to correct or partially correct a Manufacturing or Design Defect, at no increase in the Purchase Order price.
- 7.14. The Purchaser shall give the Contractor a written notice specifying any failure or refusal of the Contractor to: (a) conduct analyses of Failed Components and implement a course of remedial action as required by this Clause 7; or (b) to provide replacement components, technical support or on-location field repair service in accordance with this Clause 7; or (c) to prepare and furnish data and reports as required by this Clause 7.
- 7.15. The notice referred to in Clause 7.14 shall specify a period of time following receipt of the notice by the Contractor in which the Contractor must remedy the failure or refusal specified in the notice.
- 7.16. If the Contractor does not comply with the Purchaser's written notice in Clause 7.14, the Purchaser may by the Purchase Order or otherwise obtain detailed recommendations for corrective action from its own resources or third parties and either:
 - 7.16.1. Correct the Defective item;
 - 7.16.2. Replace the Defective item, and if the Contractor fails to furnish timely disposition instructions, the Purchaser may dispose of the non-confirming items for the Purchaser's account in a reasonable manner, in which case the Purchaser is entitled to reimbursement from the Contractor, or from the proceeds, for the reasonable expenses of care and disposition, as well as for excess costs incurred or to be incurred;

- 7.16.3. Obtain applicable data and reports; or
- 7.16.4. Charge the Contractor for the costs incurred by the Purchaser.

7.17. The Contractor shall assign a PoC within its organization for the warranty claims and shall not delegate such responsibility to its suppliers (i.e. OEMs) unless agreed by the Purchaser on a case-by-case basis for practicality reasons. The support services shall be usable or evocable in all NATO locations and Member Nations, without any restriction to the country of the supplier or the delivery locations.

8. Product Recall and Preventive Action

- 8.1. In the event that a product recall is required for reasons of safety or by regulatory order, the Contractor shall be fully responsible for conducting all necessary recall actions promptly and at its sole cost. This includes, but is not limited to, recall logistics costs, notifying affected parties, arranging for the return or replacement and safe storage of the recalled goods, and complying with all applicable regulatory requirements.
- 8.2. The Contractor agrees to bear all costs associated with implementing measures necessary to prevent or mitigate damage, harm, or risks resulting from the recall or from the defective or non-compliant goods. These measures include, but are not limited to, corrective actions, repairs, replacements and safe storage.
- 8.3. The Contractor shall indemnify and hold harmless the Purchaser from any and all claims, damages, fines, penalties, or expenses arising directly or indirectly from the product recall or the implementation of preventive measures.
- 8.4. The Contractor shall cooperate fully with the Purchaser and relevant regulatory authorities throughout the recall process and provide timely updates on the progress and outcomes of the recall and associated actions.

C. Appendix B - Services (Non-Software)

The following Terms and Conditions apply for the provision of Services as agreed in the Purchase Order.

1. General Terms

- 1.1. The Contractor will provide its Services with the utmost care and correspondence with the current state of the art of conduct and service at the time the service is provided.
- 1.2. The Contractor is not authorized to present itself as a representative of the Purchaser.
- 1.3. Insofar as the Contractor provides Services for Equipment or Software or License (including firmware), these Services must not compromise the integrity, confidentiality and availability of the ICT – infrastructure or parts thereof. Neither security nor confidentiality of the Purchaser should be infringed by way of:
 - 1.3.1. undesirable dropping or discharge of data;
 - 1.3.2. undesirable change or manipulation of data or logic structure;
 - 1.3.3. undesirable input of data or extension of features.
- 1.4. An activity is 'undesirable' if it was neither requested by the Purchaser in the Purchase Order or parts of the statement of work, nor offered by the Contractor together with a specific description of the activity or its functionality, nor expressly authorized by the Purchaser in individual cases ('opt-in').

2. Documentation and Reports

- 2.1. The Contractor will provide documentation for the Services provided at the latest within five (5) Days of completion. Unless otherwise agreed, documentation will be provided in English and in a pdf digital format. The Contractor is obliged to give the Purchaser access to the current state documentation upon request at any time.
- 2.2. The documentation shall meet reasonable standards of completeness, clarity, detail and accuracy so as to enable the Purchaser to understand the operation, use and maintenance of the corresponding Services and any deliverables, as well as its compliance with the specifications. Documentation will be submitted for Acceptance as set forth in Clause 7 of the Core Terms and Conditions ("Acceptance").
- 2.3. The Contractor shall provide to the Purchaser complete and timely reports describing the status and performance of the projects, the Services and the Deliverables, as set forth in the Purchase Order.

3. Contractor Personnel

- 3.1. The Contractor shall provide and pay an adequate number of personnel as required to perform the Services and provide the Deliverables properly and timely. The Contractor shall only involve personnel that have the qualifications, expertise, skills and experience required to perform the tasks that they are to perform.
 - 3.2. The Contractor shall, with respect to the Contractor's personnel, strictly comply with all applicable laws, such as labor law, social security law, tax law, legislation regarding work permits and the employment and residence of personnel according to the laws of the place of performance.
 - 3.3. The Personnel provided by the Contractor are at all times employees of the Contractor and not of the Purchaser. In no case shall the Contractor's personnel act on behalf of or as an agent for NATO or any of its bodies. In no way shall the Contractor's personnel claim directly or indirectly to represent NATO in an official capacity or claim themselves to be NATO employees.
 - 3.4. The Purchaser shall not be responsible for securing work permits, lodging, leases nor tax declarations, driving permits, etc., with national or local authorities. The Contractor's employees, agents, or representatives are not eligible for any diplomatic privileges nor NATO employee benefits.
4. **Delivery of Services**
 - 4.1. The Contractor shall provide services of a high quality standard, in accordance with the state of the art in the relevant industry and the provisions of the Purchase Order. Services includes but is not limited to: services performed, workmanship and material furnished or utilized in the performance of the Purchase Order.
5. **Acceptance**
 - 5.1. The Contractor shall only provide Services that conform to the requirements of the Purchase Order.
 - 5.2. The Contractor shall provide written notification of completion of services by email to the Purchaser within five (5) Days of completion.
 - 5.3. The Purchaser shall provide the Contractor with notification of Acceptance, or of rejection due to the services provided being in non-conformance with the requirements of the Purchase Order.
 - 5.4. The Purchaser may require re-performance of nonconforming services at no increase in Purchase Order price if the Services provided were not in conformance with the requirements of the Purchase Order. If re-performance will not correct the defects or is not possible, the Purchaser may seek an equitable price reduction or reject the services partially or as a whole and terminate the Purchase Order, at no cost to the Purchaser.
 - 5.5. Other claims of the Purchaser, in particular for damages or reimbursement of expenses and the right to terminate the Purchase Order pursuant to Clause 20 of the Core Terms and Conditions ("Termination"), remain unaffected.
6. **Warranty**
 - 6.1. The Contractor warrants that the Services performed under the Purchase Order and the delivered Deliverables will be performed in accordance with the most recently agreed specifications of the Purchase Order, including any required Service Levels, and will be of a professional, technical and general quality consistent with the best industry standards and practices that are generally in effect for Purchase Orders of this kind, and in compliance with all applicable international, national, local and sectoral laws and regulations where the Services are performed or as dictated by the Purchaser.
7. **Ownership and Title**
 - 7.1. Ownership and title to all Services performed under the Purchase Order will pass to the Purchaser upon Acceptance by the Purchaser. In the event that the Services have been performed by the Contractor, and the Purchaser fails to provide written Acceptance or rejection within thirty (30) Days of delivery, the Services will be determined to have been accepted by the Purchaser.
8. **Intellectual Property Rights (IPR)**
 - 8.1. **Foreground IPR.** Unless the Contractor notifies the Purchaser before the acceptance of the Purchase Order on existing third party rights or the Contractor's rights arising otherwise than by virtue of the Purchase Order, subject to applicable national security regulations, all rights in the results of work undertaken by, or on behalf of, the Purchaser for the purposes of the Purchase Order, including any technical data specifications, reports, drawings, computer software data, computer programs, computer databases, computer software, documentation including software documentation, design data, specifications, instructions, test procedures, training material produced or acquired in the course of such work and, in particular, all rights, including copyright therein, will vest in and be the sole and exclusive property of the Purchaser.

- 8.2. Background IPR.** Pre-existing IPR shall remain the property of the party who owns the IPR. The Purchaser hereby grants to the Contractor a royalty-free, non-exclusive, non-transferable license to use Purchaser Background IPR as required to allow the Contractor to perform its obligations under the Purchase Order. Upon completion of the Services and on receipt of payment in full by the Contractor, the Contractor will grant to the Purchaser a perpetual, royalty-free, non-exclusive, non-transferable license to use Contractor's Background IPR as required to allow the Purchaser to use the deliverables produced by the Contractor for any objectives and business purpose related to or derived from the Purchase Order.
- 8.3.** All reports, presentations, etc. produced for the Purchaser under the Purchase Order are to include the following data legend on the title page: *"This material is the property of NATO and may not be reproduced without written permission."*

Appendix C – Software or License and Associated Services

1. Mutual Acceptance of Terms and Conditions

- 1.1.** By accepting the Purchase Order, the Contractor has accepted the entirety of the Standalone Purchase Order Terms and Conditions. Based on the Contractor's mutual acceptance, the Purchaser likewise mutually accepts the Contractor's standard commercial license agreement.

2. Supply of Software or License and Associated Services and Inspection

- 2.1.** The Contractor shall supply the Software or License and any accompanying documentation on the date or within the period stated in the Purchase Order.
- 2.2.** The Purchaser has the right to inspect or test any Software or License that has been tendered for Acceptance, at no cost to the Purchaser.

3. Acceptance

- 3.1.** The Contractor shall provide notification of the delivery of the Software or License by email to the Purchaser within two (2) Days of provision.
- 3.2.** The Purchaser shall provide the Contractor with notification of Acceptance, or of rejection due to the Software or License provided being in non-conformance with the requirements of the Purchase Order.
- 3.3.** The Purchaser may require correction at no increase in Purchase Order price if the Software or License provided is not in conformance with the requirements of the Purchase Order. If correction is not possible, the Purchaser may seek an equitable price reduction or reject the services partially or as a whole and terminate the Purchase Order under Clause 20 of the Core Terms and Conditions ("Termination"), at no cost to the Purchaser.
- 3.4.** In the event that the Software or License has been delivered by the Contractor and offered for inspection and the Purchaser has either not made inspection or failed to provide written Acceptance or rejection of the Software or License within thirty (30) Days of delivery, the Software or License will be determined to have been accepted by the Purchaser.

4. Inconsistency

- 4.1.** Any delivered Software which is not specifically developed for the Purchaser under the Purchase Order, is delivered under a Commercial-Off-The-Shelf (COTS) license of the Contractor or its licensor if the Purchaser was clearly informed about such license.
- 4.2.** If any of the terms and conditions of this Purchase Order of this Terms and Conditions conflicts or is inconsistent with the Contractor's standard commercial licence agreement, this Purchase Order shall have precedence.

5. Continued Performance

- 5.1.** The Contractor or licensor shall not unilaterally revoke, terminate or suspend any rights granted to the Purchaser except as allowed by the Purchase Order. If the Contractor or licensor believes the Purchaser to be in breach of the agreement, the Contractor shall pursue its rights and remedies under Clause 21 of the Core Terms and Conditions ("Disputes and Arbitration").
- 5.2.** Even if the Contractor or licensor has the right to terminate the Software or License on the basis of the Purchase Order, the Contractor or licensor shall under all circumstances provide a notice period that is sufficient to allow the Purchaser to properly switch to an alternative Software solution for a similar functionality.

6. Modifications to Commercial-Off-The-Shelf (COTS) License

6.1. During the terms of the Purchase Order, the Contractor may unilaterally revise Contractor's COTS Software or License agreement, if the revision is not a "Material Change". A "Material Change" is defined as:

- 6.1.1.** terms that change the Purchaser's rights or obligations;
- 6.1.2.** terms that increase prices;
- 6.1.3.** terms that decrease the overall liability of the Contractor or licensor;
- 6.1.4.** terms that decrease overall level of service; or
- 6.1.5.** terms that limit any other Purchaser right addressed in the Purchase Order.

6.2. For revisions that will constitute a Material Change, the revised Contractor's standard commercial license agreement must be incorporated into the Purchase Order through a mutually agreed Purchase Order Amendment.

6.3. Any revision that was not mutually agreed and that is inconsistent with any Clause of the Purchase Order shall not be enforceable against the Purchaser, and the Purchaser shall not be deemed to have consented to the revision.

7. Unilateral Modifications To Software

7.1. During the Term of the Purchase Order, the Contractor shall not unilaterally reduce in a new version of the Software the functionality of the Software, nor its performance or compatibility with the agreed configuration requested by the Purchaser. Any change of functionality must be notified to the Purchaser and agreed in writing in conformity with Clause 6 of the Core Terms and Conditions ("Changes"). In case of reduction of functionality, the Purchaser may at its sole discretion, (a) request the continued use of the Software as it was currently provided; or (b) terminate the Purchase Order or the relevant license and be refunded any excessive fees paid for unused licenses or Services, in addition to any other rights and remedies under the Purchase Order or by Law; or (c) determine the value of the reduced functionality in which case the fees shall be adjusted accordingly on a pro rata basis. In case of termination, the Purchaser shall be allowed to continue the use of the Software as it was currently provided, and at no additional cost to the Purchaser, until the Purchaser shall be able to implement and effectively use an alternative Software solution providing the same functionality.

8. No Automatic Renewals

8.1. If any Software or License tied to periodic payment is provided under the Purchase Order (e.g., annual software maintenance), such Software or License shall not renew automatically upon expiration of its current term without prior express consent by the Purchaser's Contracting Authority.

9. Audits

9.1. Any provision of an agreement permitting the Contractor or licensor to audit the end user's compliance with that agreement is hereby amended as follows:

- 9.1.1.** Discrepancies found in an audit may result in a charge by the Contractor or licensor to the Purchaser. Any resulting invoice must comply with the proper invoicing requirements specified in Clause 10 of the Core Terms and Conditions ("Invoice and Payment").
- 9.1.2.** This charge, if disputed by the Purchaser, will be resolved in accordance with Clause 21 of the Core Terms and Conditions ("Disputes and Arbitration"). No payment obligation shall arise on the part of the Purchaser until conclusion of the dispute process.
- 9.1.3.** Any audit requested by the Contractor will be performed at the Contractor's expense, at no cost to the Purchaser.

10. Non-Assignment

10.1. This Purchase Order may not be assigned, nor may any rights or obligations thereunder be delegated, without the Purchaser's prior approval.

11. Commercial Computer Software or License

11.1. Notwithstanding any contrary provisions contained in the Contractor's standard commercial license agreement, the Contractor agrees that the Purchaser will have the rights that are set forth below to use, duplicate or disclose any Software or License delivered under the Purchase Order.

11.2. Software delivered under the Purchase Order may not be used, reproduced, or disclosed by the Purchaser except as provided in Clause 11.3 immediately below.

11.3. The commercial Software or License may, as a minimum, be:

- 11.3.1.** Used or copied for use with the computer(s) for which it was acquired, including use at any

- Purchaser installation to which the computer(s) may be transferred;
- 11.3.2.** Used or copied for use with a backup computer if any computer for which it was acquired is inoperative;
 - 11.3.3.** Reproduced for safekeeping (archives) or backup purposes;
 - 11.3.4.** Modified, adapted, or combined with other Software or License, provided that the modified, adapted, or combined portions of the derivative software incorporating any of the delivered, commercial Software or License shall be subject to the same restrictions set forth in the Purchase Order;
 - 11.3.5.** Disclosed to and reproduced for use by support service Contractors or their subcontractors, subject to the same restrictions set forth in the Purchase Order; and
 - 11.3.6.** Used or copied for use with a replacement computer.

- 11.4.** If the commercial Software or License is otherwise available without disclosure restrictions, the Contractor licenses it to the Purchaser without disclosure restrictions.

12. Rights in Data

- 12.1.** Except as otherwise stated, the data as described below is the property of the Purchaser on behalf of NATO and consequently no statement or action shall be made or taken to restrict the rights of the Purchaser in:
 - 12.1.1.** Data first produced in the performance of the Purchase Order;
 - 12.1.2.** Form, fit, and function data delivered under the Purchase Order;
 - 12.1.3.** Data delivered under the Purchase Order (except for restricted computer software) that constitute manuals or instructional and training material for installation, operation, or routine maintenance and repair of items, components, or processes delivered or furnished for use under the Purchase Order; and
 - 12.1.4.** All other data delivered under the Purchase Order which was derived through use of the Software or License.

Annex A - MATERIAL DATA SHEET (MDS) DATA FIELDS	
Field	Description
Purchase Order Line Item Number (CLIN)	(number-10 digits maximum) Sequence number assigned to a particular line item in a given Purchase Order.
Nomenclature (short item description)	(text- 35 digits) Should start with the main item name (HW/SW) followed by a technical specification, and the next higher assembly names in hierarchical order.
EQRE (XB/ND)	Code (text-2 digits). Defines whether an item is repairable (ND) or not (XB) from a technical point of view.
True Manufacturer Part Number	True Manufacturer P/N (text-32 digits given to this item by the OEM.
True Manufacturer Code	(text-5 digits) This is an internationally recognized 5-digit code unique to the company manufactured the item. It corresponds to the "cage code" in the USA.
Vendor/Contractor Code (or complete name and address)	(text-5 digits) Company which sells the item or the complete system this item belongs to. The vendor is the company with which the Purchase Order is placed but not necessarily the true manufacturer. The code is an internationally recognized 5-digit code unique to the company, which corresponds to the "cage code" in the USA.
Vendor/Contractor Part Number	Vendor/Contractor P/N (text-32 digits). P/N is given by the company by which the item or the complete system this item belongs to is sold.
QTY ordered	(number-5 digits) The quantity ordered as individual item. In case the item is not ordered as individual item but is built-in in another assembly, enter "0" (zero) and complete fields: "P/N of next higher assembly" and "qty in next higher assembly". Serialized items shall have a quantity of 1.
Order Unit	(text-2 digits) Unit under which the item is sold, e.g. each, set, meter, etc.
Serialized Item Tag	(text-1 digit) Add a "Y" if the item has a serial number whether serial numbers is already known or not. If known, complete column "Serial Number".
Serial Number	If Serialized Item Tag is "Y" (yes) then add serial number here. (1 S/N per line).
Software Revision Level	Software Revision Level (text- 30 digits) If item carries a serial number and field "serial number" is completed, add SW revision level/version.
S/N Hardware Revision Level	Hardware Revision Level (text- 30 digits) If item carries a serial number and field "serial number" is completed, add HW revision level/version.
Other S/N attributes	Other Serial Number Attributes (text-to be defined).
Subject to Property Accounting	(text-1 digit). NCIA will decide whether or not item is subject to property accounting. This field will be completed Y or N by NCIA.
Currency	(text-3 digits) International 3-digit code (ISO) representing the currency in which the item purchase price (or the estimated value) is expressed.
Price	Item Price (number-11 digits). Unit price with 2 decimals.
Warranty Expiration Date	(date: DD/MM/YY) Shows the date on which the warranty of this item expires, which is usually N days after delivery to the Purchaser site.
Receiving/Inspection Depot	(TXT-2 digits) Information will be provided by the Purchaser's ILS Officer. This is the depot to where the vendor ships the material.
Issue to customer	(text-4 digits - to be completed by NCIA)
Extended Line Item Description	(text-no limit) Any additional information to be entered here, e.g. technical specifications, configuration, reference to technical drawings or manuals, etc.
Part Number of next higher assembly	(text-32 digits) If item is built-in another assembly, indicate P/N of that assembly here.
Qty in next higher assembly	(number-3 digits max) This field shows the built-in quantity of the item in the next higher assembly, for configuration control.
Qty installed at Operating Unit (Customer Site)	This field is only applicable when the delivery is direct to an operating unit (customer site). However in that case it is mandatory. For non-serialized items it shows total quantity installed. For serialized items quantity shall only be 1.

ANNEX B – STANAG 4280 Packaging Levels									
NATO Packaging Level	STORAGE			ENVIRONMENTAL CONDITIONS			DISTRIBUTION		TESTS
	Location	Duration	Stacking Height	Diurnal Temp	Diurnal Relative Humidity	Rainfall	Transit By	Handling By	Vertical Drop Height* (Maximum)
1	Outdoors	1 year	2 – 4 metres depending on mass and shape of package	– 51°C to + 71°C	3% to 100% RH	Region Worldwide	Road, Rail, Sea, Air in open or enclosed conditions	Any method	1.0 m depending on mass and size of package
2	Outdoors	3 years	2 – 4 metres depending on mass and shape of package	– 46°C to + 63°C	14% to 100% RH	Region Europe	Road, Rail, Sea, Air in open or enclosed conditions	Any method	1.0 m depending on mass and size of package
3	In ventilated permanent buildings	5 years	2 – 4 metres depending on mass and shape of package	– 33°C to + 58°C	43% to 100% RH		Road, Rail, Sea, Air in enclosed conditions	Any method but use of mechanical handling equipment preferred	0.75 m depending on mass and size of package
4	In ventilated buildings	1 year	2 – 4 metres depending on mass and shape of package	– 33°C to + 58°C	43% to 100% RH		Road, Rail, Sea, in enclosed freight container conditions Air without transshipment	Minimal handling by mechanical handling equipment only	0.3 m always